

M/s Saini Alloys Pvt. Ltd. v. U.P. Power Corporation Ltd.

Allahabad High Court · Division Bench · 16 October 2014 · Writ-C No. 55446 of 2014 · Writ-C No. 55446 of 2014 · **Interim stay of additional security demand; listed with connected writs.**

HEADNOTE

Allahabad High Court, following an earlier interim order in a similar clause 4.20 additional-security challenge, restrains the licensee from demanding additional security until further orders, without prejudice, and directs the writ to be listed with connected petitions.

FACTUAL SUMMARY

M/s Saini Alloys Pvt. Ltd. sought quashing of a demand notice dated 24 June 2014 for additional security. Counsel submitted that the demand was raised under paragraph 4.20 of the U.P. Electricity Supply Code, 2005, and that this Court had already entertained similar writs and granted interim protection, including the order dated 7 October 2009 in Writ Petition No. 51844 of 2009 (M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.). Identical questions were said to arise in several pending matters.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

Following the interim order already granted in Writ Petition No. 51844 of 2009, the Court, without prejudice to the rights and contentions of the parties, restrained the respondents from demanding additional security under paragraph 4.20 of the U.P. Electricity Supply Code, 2005, until further orders, and directed the petition to be connected and listed with the similar pending writs. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER ADDITIONAL SECURITY UNDER CLAUSE 4.20 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 IS LAWFULLY DEMANDABLE

Stay granted without prejudice; petition listed with connected writs. Merits not decided. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd. Writ Petition No. 51844 of 2009 (order dated 7 October 2009)			1	Referred